

Mobile has rolled out similar hotspots in Starbucks cafes in the US and Europe.

Operators Branding Devices: Global operators (most notably Vodafone and Orange) are pushing operator-branded devices. In general, those operators with a strong market positioning are choosing to work with device manufacturers less likely to insist on their own brand. NTT DoCoMo, the leading Japanese operator, is forcing device manufactures to adhere strictly to their own handset specifications. Operators all over the world are pressuring handset manufacturers for exclusive or unique features.

Flat Fees Emerging: Hutchinson 3G is offering 3G services in Italy at a flat rate and is considering a similar offer in the UK. In the US, both Verizon and Sprint PCS offer some form of flat-rate billing for data services.

Portals Reabsorbed: Vodafone recently re-integrated Vizzavi to form the core of its Vodafone Live! Content portal. O2 re-absorbed Genie and re-named it O2 Online.

Mobile Device Manufacturers Dominate

In this scenario, powerful, multifunctional devices have gained high penetration and consumer acceptance before full-featured networks can meet consumer needs. Operators have been unsuccessful at marketing content to consumers. Both traditional handset manufactures and game-oriented device manufacturers are dominant players. Perhaps various players in the device segment have merged. Mobile entertainment is primarily enjoyed offline. Network connectivity can easily be established via widespread large-bandwidth WLAN hotspots, home wireless networks or local area peer-to-peer connections. Operators are mostly excluded from content revenue. Device manufacturers will participate in content revenues through the distribution power of their proprietary portals (e.g. Club Nokia, My.Siemens), which could grow to encompass content billing and customer-care responsibilities. Device manufacturers also gain revenues by introducing hardware-based content tied to particular devices. In this sce-